

SECTION B (85 MARKS)

ANSWER ALL FOUR (4) QUESTIONS

QUESTION 1 (20 MARKS) 25 minutes

Perniagaan Semambu's cash book balance differ from the company's Bank Statement balance at 30 April 2018. The cash book and bank statement are as follows:

**MAYBANK BHD
BANK STATEMENT**

Perniagaan Semambu
No. 1 Jalan OKK Daud
Kg Merinding, W. P Labuan

Acc No : 087-161555667-2

Date : 30 April 2018

Date	Description	Cheque No	Debit	Credit	Balance
2018					
April 1	Balance				8,250
5	Cheque	1013	880		7,370
10	Cheque	1014	600		6,770
11	Deposit			2,660	9,430
	Deposit			890	10,320
12	Cheque	1012	1,020		9,300
	Cheque Book		15		9,285
14	Cheque	1016	320		8,965
16	Deposit			1,650	10,615
28	Cheque	1018	5,765		4,850
	Cheque	1017	2,650		2,200
29	Deposit			1,870	4,070
30	Dividend (Syarikat Adlyna Bhd)			1,550	5,620
	Sykt Tana Man (EFT)			2,400	8,020
30	Deposit			2,350	10,370



Cash Book (bank column)

Date	Particulars	RM	Date	Cheque no	Particulars	RM
2018			2018			
April 1	Balance	7,230	April 2	1013	Rental	880
3	Sales	2,660	4	1014	Vehicle Repairs	600
5	Angelo Bhd	890	6	1015	Commission	690
8	Denna	1,650	10	1016	Freight-in	320
25	Bonita Bhd	2,640	24	1017	Yna & Co	2,560
28	Perniagaan Bimbo	1,870	27	1018	Arjen Sdn Bhd	5,765
29	Peruncit Mamat	2,350	29	1019	Telekom Malaysia Bhd	220
30	Balance c/f	885	30			8,880
				1020	Syarikat Sri Jaya	<u>260</u>
				1021	Takaful Bhd	<u>20,175</u>
		<u>20,175</u>				

Additional Information : All information in the Bank Statement are correct

REQUIREMENT :

- (i) Bank Reconciliation Statement as at 30 April 2018.
(ii) Adjusting entries as at 30 April 2018.

(10 marks)

- (b) Information related to Miracle Company (MC) for 2017 is summarized below:

Total credit sales	RM200,000
Accounts receivable at December 31	RM25,000
Bad debts written off	RM3500

REQUIREMENT:

- (i) Assume that Miracle Company decides to estimate its bad debt expense to be 2% of credit sales. What amount of bad debt expense will Miracle record if Allowance for Doubtful Accounts has a credit balance of RM3,000?
(5 marks)
- (ii) Assume that Miracle Company decides to estimate its bad debt expense based on 1.5% of accounts receivable. What amount of bad debt expense will Miracle Company record if Allowance for Doubtful Accounts has a credit balance of RM1,000?
(5 marks)



QUESTION 2 (20 MARKS) 25 minutes

- (a) Lalola Company has the following inventory, purchases, and sales data for the month of September 2018. The company uses a perpetual inventory system and moving-average cost valuation method.

Date	Transactions	Units	Cost Per Unit (RM)
Sept 1	Inventory	100	25.00
3	Purchases	50	25.50
6	Sales	120	50.00
10	Purchases	160	25.50
11	Purchases	140	26.00
18	Sales	50	50.00
23	Purchases	200	27.00
27	Sales	100	50.00
30	Sales	10	55.00

REQUIREMENT :

- (i) Determine the cost of goods sold. (Round-up cost per unit to two decimal places) (10 marks)
- (ii) Determine the cost of inventory on hand at 30 September 2016. (10 marks)

QUESTION 3 (20 MARKS) 25 minutes

- (a) Stated below is the information related to A machine belongs to Wong Enterprise:

Model	A100
Purchase date	15 March 2015
Cost	RM45,000
Residual value	RM600
Useful life	10 years
Depreciation method	Reducing balance
Depreciation rate	25%

Additional information:

- a. On 17 September 2018, Mr. Wong decided to trade in the machine with the new Model A200 with invoice price at RM70000. The market price for Model A100 agreed during the purchase date is RM15,000.
- b. The company policy is to recognize depreciation expense for the month of purchase but not the month of disposal.

REQUIREMENT:

- (i) Calculate the depreciation expense for the year of 2015 until date of trade in transaction.
- (ii) Prepare journal entry to record transaction on 17 September 2018.



- (iii) Prepare journal entry to record depreciation expense for the machine on 31 December 2018.

QUESTION 4 (25 MARKS) 45 minutes

- (a) On January 1, 2018, Gegak Gempita Corporation issued RM1,000,000 8%, 10-year bonds. Interest is to be paid on 1 July and 1 January every year.

REQUIREMENT:

Prepare journal entries to record:

- (i) The issuance of bonds payable.
- (ii) Adjustment for the year ended 31 December 2018.
- (iii) The payment of interest on 1 July 2018 and 1 January 2019.

b) Farah runs a retail store business but does not keep a complete record and has asked for your help in determining the profit or loss for the year ended December 31, 2018. The following information has been obtained from her business:

1.

	31 December 2017	31 December 2018
Premise	30000	30000
Inventory	5900	7200
Fixtures & Fitting	2500	2500
Account Receivable	3860	4950
Account payable	2750	3160
Bank	3160	4180
Cash	110	130
Accrued Sundry expense	80	120

2. Drawing during 2018 are RM7350 from cash and RM340 from merchandise.
3. On January 1, 2018, Farah moved a furniture RM2400 from her own house to her shop for business purpose. This action never been recorded anywhere. 10% depreciation allocated for the furniture.
4. A bouncing cheque of RM390 has not been adjusted in business book.
5. Insurance of RM260 paid in 2018 is actually for 2019 coverage.
6. Amount of Account Receivable written off during 2018 is Rm450.
7. 20% allocated for fixtures & fitting depreciation every year.

Required:

- (i) Calculate beginning capital
- (ii) Calculate ending capital
- (iii) Prepare Profit or loss Statement for the year ended December 2018
- (iv) Prepare Financial Position as at December 31, 2018.

